the industrial development corporation should first be set up as a company under the Companies Act and then converted to a statutory corporation.[2]

The American proposal underwent substantial modification at the World Bank which favoured an institution owned very largely by private Indian investors (with some equity held by overseas investors), and which would open a line of credit with the World Bank and assist industry only in the Indian private sector. The proposal was presented to the Government of India, and Black, who in B.K. Nehru's words was 'most surreptitiously enthusiastic about the scheme'[3], followed it up by dispatching a delegation comprising George Woods, Robert Craft (American Securities Corporation), and Joseph Rucinski (World Bank) to India at the end of January 1954.

Both George Woods and Black became lifelong friends of B.K. Nehru. Nehru first made Woods' acquaintance when his firm, First Boston Corporation, one of the leading merchant bankers and security dealers in Wall Street was chosen to act as fiscal agent for India. Woods was then a middle ranking officer and had been nominated to deal with the Indians. Nehru relates how Black and Woods had started life together in the same office in New York. Black had started as an executive and Woods as an office boy. Woods' ability and charm were so great that he rose very rapidly, first to head First Boston, and then the World Bank.[4] Black had come to the World Bank from the Chase Bank. He had little knowledge of international finance or development economics. His forte was raising money in the market and if anything excited him it was the success of a World Bank bond floatation. When Nehru took him to see the Taj Mahal by moonlight, the only remark he made was, 'Say BK, did you see how wonderfully that three per cent loan went in the market?'[5]

Black's proposal was based on what would go down best with the US Congress when it discussed American aid to India. The official Indian opinion on them remained divided. B.K. Nehru, who was in Washington at this time, embraced the idea enthusiastically while T.T.K. felt it would be difficult given Delhi's prevailing climate to adopt an idea based on American aid 'primarily and secondarily on aid from the IBRD which, though an international institution, has its policies tuned to the prevailing opinion' in the US. Nor was he convinced that the Indian private sector would support a venture of this nature by investing in it.[6]